THE PRESIDENT'S OFFICE
REGIONAL ADMINISTRATION AND LOCAL GOVERNMENT
LONGIDO DISTRICT

FORM ONE ANNUAL EXAMINATION
065 BUSINESS STUDIES

Time: 2½ Hours **November 2025**

Instructions

1. This paper consists of sections A, B and C with a total of **ten** questions.
2. Answer **all** questions.
3. All answers must be written in the spaces provided.
4. All writings must in blue or black ink, except for drawing which must be in pencil.
5. All communication devices and calculators are not allowed in the examination room.
6. Write your **Assessment Names** on the top right on every page.

Question number	**For examiners use only**	
	score	Examiner's initials
1		
2		
3		
4		
5		
6		
7		
8		
9		
10		
TOTAL		
CHECKER'S INITIALS		

SECTION A (15 MARKS)

1. For each of the items (i) to (x) choose the most correct answer among the given alternatives.
   (i) Which one of the following alternatives explain the main purpose of Business studies?
      A. To understand business process
      B. To enable us to understand customer's needs
      C. To provide insight into the fundamental principles that shape world of business
      D. All of the above

   (ii) Which of the following would provide an individual with a motivation to start an entrepreneurial activity?
      A. Desire for self actualization
      B. Increase of tax
      C. Inadequate resources
      D. Lack of training institution

   (iii) From the following list, who changes raw materials into finished goods?
      A. Distributor
      B. Manufacturer
      C. Retailer
      D. Consumer

   (iv) Which of the following is not a feature of free goods?
      A. They have geographical mobility
      B. They are not produced by human effort
      C. They are not transferable in terms of ownership
      D. They lack exchange value

   (v) Which among the following is not an objective of a business?
      A. Provision of goods
      B. Social responsibility
      C. Making profit
      D. Making loss

   (vi) The word sole-proprietor is made up of two key vocabularies, which are "sole" and "proprietor". What does it mean by "sole"?
      A. One
      B. Single
      C. Only
      D. Owner

   (vii) In sole proprietorship concept, what does unlimited liability means?
      A. The proprietor can invest unlimited amount of money in the business
      B. The business has unlimited potential for expansion
      C. The proprietor's personal assets are at risk in case the business incurs liabilities
      D. The proprietor is responsible for registering a business

(viii) It tries to solve community problems such as garbage collection, recycling and community micro-finance initiatives. What kind of entrepreneurship is this?

A. Intrapreneurship
B. Social
C. Corporate
D. Business

(ix) The theory says that people who have a strong desire to achieve goals and do things better are more likely to become entrepreneurs. Which theory of entrepreneurship is this?

A. Need achievement
B. Status withdrawal
C. Innovation
D. Risk bearing

(x) Seypalm has Tsh 10,000. He can either buy a text-book for school or a ticket to a music concert. He chooses to buy a text-book. What is the opportunity cost in Ashery's decision?

A. The text-book he bought
B. The money he spent
C. The concert he missed
D. The value of the text-book in the future

(i)	(ii)	(iii)	(iv)	(v)	(vi)	(vii)	(viii)	(ix)	(x)

2. Match the descriptions in column **A** with the corresponding answer in column **B** by writing the letter of the correct answer in the space provided

COLUMN A	**COLUMN B**
(i) Are things having utility, owned and enjoyed collectively by the society (ii) The tendency to consume such goods without any consideration (iii) All members of the society are having equal chance to consume the goods (iv) A person can consume extra units without reducing consumption for other (v) Are things having utility, owned and enjoyed by an individual	A. NON- rivalry B. Goods C. Capital goods D. Private goods E. Non- exclusive F. Free rider G. Public goods

COLUMN A	(i)	(ii)	(iii)	(iv)	(v)
COLUMN B					

SECTION B (70 MARKS)

3. Accountants need a wide variety of skills to carry out their assigned duties and responsibilities. The same applies to engineers, doctors and people working in other professions. In case of an entrepreneur, how accurate is this statement? Give five points.

(i) .....

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(ii) .....

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(iii).....

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(iv).....

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(v) .....

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4. Write short notes on the following terms used in entrepreneurship

(i) Creativity

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(ii) Innovation

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(iii)Invention

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(iv)Curiosity

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(v) Perseverance

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5. (a) What is production

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(b) Explain the relationship between the following factors of production:

(i) Land and labour

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(ii) Land and capital

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(iii) Capital and labour

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(iv) Capital and entrepreneurship

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6. Why the government has decided business studies to be compulsory in ordinary level? Explain five points for such a wise decision of the government

(i) .....

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(ii) .....

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(iii).....

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(iv).....

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(v) .....

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7. Business studies is a combination of various fields of study. Justify the validity of this statement by five points.

(i) .....

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(ii) .....

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(iii).....

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(iv).....

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(v) .....

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8. How sole proprietorship business is different from a company? Describe in five points.

(i) .....

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(ii) .....

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(iii).....

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(iv).....

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(v) .....

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9. Most people use the term human needs and human wants interchangeably; however, they are not the same. Briefly explain five main differences between the two terms.

(i) .....

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(ii) .....

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(iii).....

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(ii) .....

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(iii).....

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SECTION C (15 MARKS)

10. Sole proprietorship. like any other form of business, faces challenges in its operation. Explain three challenges and suggest three ways on how they can be solved.

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